Dear Stakeholders,

We appreciate your thoughtful and constructive feedback. We agree that the 2025 fiscal performance requires decisive and adaptive measures. Revenue fell 10% to $46,3B and operating margins compressed to 8%. Gross margins further declined to 42,7% and free cash flow to $4,6B. All these figures reflect the transitional year Nike passed through, marked by inventory normalization, promotional intensity, macroeconomic pressures, and the strategic realignment of our market positioning model.

Nevertheless, the data also highlights that Nike's fundamentals remain strong. Inventory turnover improved to 3,8x with the reformulated asset turnover remaining strong, and Net Debt/EBITDA stands at 0,42x. Thus, the issue we are addressing is execution and mix- not a structural brand breakdown.

Below, we outline the concrete actions we have implemented to recover from the underperformance of 2025.

Channel Rebalancing and the Role of DTC:
We recognize that the prior shift to Direct-to-Consumer strategy created channel tensions and increased capital intensity. Under the newly implemented "Win Now" strategy, wholesale has been restored as a strategic growth driver, now representing approximately 60% of revenue returning to growth as partner relationships are restored.

We are mot retreating from DTC, but we are redefining it. Now, DTC functions as an innovation and full-price platform, not a high-volume driver. Moreover, inventory growth will not exceed revenue growth through the cycle and promotional activity will be structurally reduced and limited to pre-defined clearance periods. Lastly, digital investments will be evaluated against ROIC thresholders and will only be pursued if these are met.

This new approach protects price integrity and stabilizes working capital. Our goal is not channel expansion but increasing channel productivity.

Greater China: Stabilization and Structural Repositioning
Greater China remains a key long-term growth market and one of the most productive regions within our portfolio. The recent underperformance reflects the markets competitive intensity, promotional overexposure, and marketplace execution gaps rather than structural asset inefficiency.

Thus, our proposal is not expansionary, but corrective and selective. We are repositioning the brand as having a performance-led focus in running and training segments, tightening marketplace discipline, and rebalancing distribution toward higher productivity channels. Store rationalization is being executed where productivity thresholds are not met, while inventory planning is increasingly aligned with localized demand signals to improve sell-through integrity- aligning sell-in with real-time sell-through data.

Here, we are prioritizing margin restoration over market share growth. We expected stabilization to occur progressively over the next fiscal years, with profitability improvements driven by mix and pricing, rather than accelerated expansion.

Margin Recovery and SKU Discipline:
Operating margins fell to 8% in 2025- below Nike's historical standards. Historically, ROIC exceeded 20%, which can be seen as evidence of the strength in our model when inventory and product mix are aligned.

The margin compression stems primarily from excess franchise saturation in lifestyle categories, and inventory imbalances that required clearance activity. We are addressing this directly- focusing on

structural simplification rather than short-term cost cutting. Capital and innovation will be focusing on five core performance categories- running, basketball, football, training, and sportswear- through the "Win Now" strategy, with a decrease in the lifestyle segment. Product lines that are lacking pricing power or don't meet the asset turnover threshold are being reduced, and future production will be tightly aligned with demand forecasts.

We expect margin recovery to be gradual, and we assume progressive improvement in gross margins as markdown intensity declines and inventory volatility stabilizes. From this, operating leverage will benefit as revenues begin to normalize. Overall, we do not expect a short-term rebound, but a phased and structurally grounded recovery.

Capital Allocation and Financial Discipline
As correctly noted, the 2025 fiscal year capital returns exceeded free cash flow, which declined to approximately $4,6B. While our balance sheet remained strong- Net Debt/EBITDA at 0,42x and robust coverage ratios- capital deployment must reflect the current operating reality.

With this in mind, we are recalibrating capital deployment priorities to reflect the current operating conditions. Share repurchases will be paced relative to free cash flow generation until margin normalization is seen. Dividend continuity remains a top priority, consistent without long-standing commitment to shareholders, but will be supported by disciplined payout ratios rather than balance sheet expansion. Capital expenditure will normalize at sustainable levels focused on supply chain efficiency, performance innovation, and high-productivity wholesale partnerships.

This disciplined framework supports both financial resilience and long-term value creation while preserving flexibility as profitability recovers.

Financial Framework and Valuation Outlook
Nike has generated returns on invested capital in excess of 20% (historically), reflecting the structural strength of the brand, innovative products, and global operating scale. The recent fall in revenues is attributed to transitional inventory distortion, elevated promotional activity, and a change in channel strategy rather than erosion of its competitive positioning.

Our forward financial framework is based in discipline normalization rather than cyclical optimism. We assume revenue growth broadly in line with industry expansion, progressive gross margin recovery as promotional intensity moderates, working capital stabilization through improved inventory governance, and a gradual restoration of operating margin over the medium term.

Nike remains the global market leader with 24,9% market share, benefiting from its enduring brand equity and broad global scale. This reset is purposeful and structured, with our number one priority being the structural profitability, capital discipline, and durable competitive advantage of Nike- not short-term earning optimization.

Kind Regards,

Nike Management